

Telematics and Usage-Based Insurance Program Terms

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Audience: Underwriting, claims, and policyholders enrolled in the program

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1. Program Overview

Meridian Mutual's usage-based insurance (UBI) program collects driving behavior data (hard-braking events, speed, mileage, time-of-day driving) from a policyholder's mobile app or a plug-in device, for policyholders who enroll via the Telematics Program Enrollment Endorsement (Form END-TEL-01).

2. Effect on Premium Only

Telematics data affects premium calculation at renewal; it has no effect on coverage, limits, deductibles, or claims adjudication. A claim is adjudicated under the Claims Adjudication Guidelines' five-step sequence exactly as it would be for a non-enrolled policyholder — telematics data is never used as a basis to deny or reduce a claim.

3. Data Collected and Retention

Collected data is limited to driving-behavior metrics needed for premium scoring (as in Section 1) and location data only during active trips. Telematics data is retained for the current policy term plus one renewal cycle, then deleted, consistent with the Data Privacy and PII Handling Policy's retention principle.

4. Withdrawal from the Program

A policyholder may withdraw from the program at any time by removing the Telematics Program Enrollment Endorsement at their next policy anniversary; premium reverts to the standard rating factors described in the Underwriting Guidelines, Section 3.

5. Data Is Not Shared for Claims Investigation Without Separate Authorization

Telematics data is not accessed for claims investigation purposes (for example, confirming a claimed date or time of loss) without the policyholder's separate authorization for that specific claim, distinct from the program enrollment itself. This is a deliberate boundary between the premium-rating purpose the data was collected for and any other use.

6. Relationship to Ride-share/TNC Use

Telematics enrollment does not substitute for the Ride-share/TNC Endorsement (END-RS-01). A policyholder using their vehicle for ride-share while also enrolled in the telematics program still needs the ride-share endorsement for that use to be covered — see Policy Wording Section 7.6.